

NK² — BESS-as-a-Service Platform

Structuring memo — VoltZeal control acquisition, capital stack & the anti-dilution firewall

STRUCTURING MEMO

The business is not hardware and it isn't software — it's a capital-and-contracts platform sitting on top of both. The entire structuring problem reduces to one design choice: keep the IP company thin and permanently capital-light, and put every rupee of container capex somewhere else entirely.

01 — THE CORE STRUCTURAL PRINCIPLE

Every crore NK² deploys to fund a customer's ₹8cr container has to land on a balance sheet. If it lands inside VoltZeal, the company must issue new shares to absorb it, and the founders get diluted every single time NK² wins a customer — which defeats the point of giving them equity at all. The fix is not a contractual promise not to dilute; it's **never giving capital a reason to touch VoltZeal's cap table in the first place.**

Split the business into three legally separate entities along the fault line between IP and capital. VoltZeal owns and licenses the EMS/BMS stack and nothing else. A separate holding/SPV structure owns the containers, carries the debt, and signs the customer contracts. The two are connected only by an arm's-length license agreement — a receivable on one side, a fee on the other, no shared cap table.

LAYER 1 TECHCO

VoltZeal Technologies Pvt Ltd — owns the EMS/BMS IP, product roadmap, and engineering team. Earns a license/royalty fee from every SPV that deploys its software. Carries no BESS assets, no project debt, no customer credit risk. Balance sheet stays small and stable forever — **this is what makes it dilution-proof.**

LAYER 2
CAPITAL / ASSETCO

NK² Energy Holdco + a series of project SPVs. Owns the containers, raises the equity and project debt to fund them, signs the ESCO/opex contract with each C&I customer, and licenses VoltZeal's software to run each site. This is where every future rupee of growth capital lives — permanently walled off from VoltZeal's cap table.

LAYER 3
HARDWARECO

No separate entity needed. Containers are purchased by the SPVs as a capex line item from Adani, Waaree, or Chinese OEMs directly. Optional: a thin, at-cost procurement desk inside Holdco for bulk-buy leverage — deliberately kept as a pass-through, never a profit center, so no value gets stranded away from either TechCo or the customer contracts.

02 — ACQUIRING CONTROL OF VOLTZEAL

Target outcome: NK² at 80% economic and voting control, founders consolidated at 10–20%, existing VC funds and angels fully cashed out. Do it as a two-legged transaction, not a single primary round — a primary round is exactly the dilution mechanism you're trying to avoid, so use it as little as possible.

Leg A — Secondary buyout of the financial investors

NK² Holdco buys the two VC funds' and angels' combined ~20% stake directly for cash at the ~₹70cr valuation (plus a modest control premium — 15–25% is typical when a buyer is also providing the funds a clean, faster exit than they'd otherwise get). This requires waivers of any ROFR/co-sale rights in the existing SHA, and is the simplest, cleanest leg — pure cap table substitution, no dilution to anyone.

Leg B — Founder secondary, kept mostly off VoltZeal's own balance sheet

To get from founders' post-Leg-A ~80% down to NK²'s 80% (founders at ~20%), structure this as a **secondary purchase of founder shares by NK² Holdco** — cash changing hands between NK² and the founders directly — rather than a primary issuance into the company. A secondary transfers ownership without creating new shares, so it dilutes no one who isn't a willing seller. Keep any primary injection into VoltZeal itself small and purpose-bound (e.g. ₹3–5cr earmarked for VoltZeal's own product roadmap, not container capex), so the one dilution event that does touch the cap table is small, one-time, and pre-agreed.

COMPONENT	STRUCTURE	EFFECT
VC + angel stake (~20%)	Secondary, cash, control premium	Full exit, no dilution to anyone
Founder stake (80% → 20%)	Secondary (cash + earn-out tranche)	Ownership transfer, not new shares
Product roadmap capital	Small primary (₹3-5cr) into VoltZeal	One-time, pre-agreed, ring-fenced from container capex
Container / customer capex	Equity + debt into SPVs, never VoltZeal	Zero effect on VoltZeal cap table, ever

Retention mechanics for the founders

- **Earn-out tranche:** structure ~60–70% of secondary consideration as cash at close, the remainder deferred 18–24 months against EMS/BMS uptime and multi-site reliability SLAs — this is also NK²'s main technology-risk hedge.
- **Reverse vesting:** the founders' retained 10–20% vests over 3–4 years against continued employment, with acceleration on a qualifying termination or a later full-exit event.
- **New ESOP pool carved from NK²'s stake, not the founders':** any future refresh pool for engineering hires dilutes NK²'s 80%, never the founders' retained slice — write this as a one-way ratchet in the SHA.
- **Put/call at a pre-agreed formula:** NK² gets a call on the remaining founder stake after year 3–4 at an agreed EBITDA or ARR multiple; founders get a symmetric put, floor-protected. This lets NK² reach 100% later without forcing it now, and gives founders downside protection in exchange for giving up control today.

03 – THE ANTI-DILUTION FIREWALL, IN MECHANICS

This is the clause set that turns the structural split above into something a lawyer can actually enforce, on top of the entity separation itself:

- **Capital-call wall:** SHA covenant that VoltZeal will not raise primary capital, incur debt, or guarantee any AssetCo/SPV obligation without unanimous founder + NK² board consent — structurally unnecessary in the ordinary course (VoltZeal never needs the capital), but closes the loophole.
- **Non-recourse / non-petition language** in every SPV loan agreement: SPV lenders have no recourse to VoltZeal's IP, cash, or shares, and VoltZeal has no liability for SPV debt. Negotiated directly with the project lenders, not just stated internally.
- **Arm's-length license pricing, benchmarked and documented** — a fixed per-MW/per-container annual fee plus a royalty (e.g. 8–12%) on the

customer's savings-share revenue running through each SPV. This is VoltZeal's actual growth engine: its revenue and valuation scale with every site NK² adds, with zero capex and zero dilution required to capture that upside. Because VoltZeal and the SPVs sit under common NK² control, this needs a genuine transfer-pricing study (Form 3CEB / specified domestic transaction documentation) to survive scrutiny — treat it as real, not cosmetic.

- **Section 188 related-party approvals** on every VoltZeal-SPV license agreement once under common control — board sign-off each time, audit trail from day one.

04 – CAPITAL STACK PER SITE

Per 5MWh / 2MW container (~₹8cr), raised entirely at the SPV/Holdco level:

SOURCE	SHARE	APPROX.	NOTES
NK ² Holdco equity (own balance sheet or an AIF wrapper)	20–30%	₹1.6–2.4cr	Own capital for proof-of-concept sites; LP capital via a SEBI Cat II AIF once the model is proven
Senior secured project debt / equipment lease	60–70%	₹4.8–5.6cr	Green/renewable-infra NBFC lines, secured by assignment of the ESCO receivable + hypothecation of the container
Customer security deposit / bank guarantee	–	1–3 months' savings	Counterparty credit de-risking, standard in ESCO contracts

Once 8–10 sites are stabilized and cash-flowing (12–18 months), securitize the pooled receivables or issue NCDs against them to recycle NK²'s equity check — and evaluate rolling stabilized SPVs into an InvIT-style vehicle later to access permanent, lower-cost capital and scale without re-raising equity site by site.

05 – THE CUSTOMER CONTRACT (WHERE THE REVENUE ACTUALLY GETS MADE)

- **Tenor:** 7–10 years, matched to the container's useful life and the project debt tenor.
- **Baseline & M&V:** agree the pre-installation power-bill baseline (12 months' history + tariff schedule) upfront, using an IPMVP-style measurement-and-verification protocol — the single biggest source of disputes in ESCO contracts is disagreement over what counts as "savings," so this has to be unambiguous in the contract, not implied.
- **Revenue split:** target 50:50 of realized savings, flexed 40:60↔60:40 by customer credit quality and minimum-offtake commitment.

- **Two savings levers, sequenced:** lead with **time-of-day peak-shaving** (behind-the-meter, no incremental regulatory licensing beyond the standard DISCOM connection — fast to scale) and layer in **day-ahead market arbitrage** once volumes justify it (DAM participation needs open-access approval and either a trading registration or a licensed aggregator/trader — confirm per-state SERC rules before pricing this lever into early contracts).
- **Performance flow-through:** VoltZeal's uptime SLA (from the Layer 1↔Layer 2 license agreement) flows into the customer contract as NK²'s own performance guarantee, with liquidated damages if a savings shortfall traces to system downtime.
- **End of term:** customer buyout at depreciated book value, renewal, or NK² redeploys the container to a new site — protects residual asset value.

06 – REGULATORY & TAX CHECKLIST

- **Electricity Act / CERC-SERC:** behind-the-meter storage for a customer's own captive load generally needs no generation/distribution license; DAM trading or any grid injection does — confirm state-specific SERC treatment before contracting that lever.
- **GST:** structure containers as the SPV's fixed asset so the SPV claims input tax credit on the ~18% GST capex; the opex service fee to the customer is itself a taxable supply — price GST into the contract.
- **Depreciation / incentives:** confirm current accelerated-depreciation treatment and any Section 80-IA-style incentives applicable to standalone storage (the rules here are still evolving for BESS specifically — verify with tax counsel before underwriting a project IRR on them).
- **Transfer pricing:** the VoltZeal↔SPV license/royalty needs a genuine benchmarking study — treat this as load-bearing, not decorative, since it's the mechanism protecting the whole dilution firewall.
- **FEMA/RBI:** if raising foreign LP capital into Holdco, a SEBI-registered Category II AIF is the cleanest wrapper — pass-through taxation, avoids downstream-investment complications, and power/storage sits on the automatic FDI route regardless.

07 – GOVERNANCE

- **VoltZeal board:** NK² majority (reflecting 80%) + 1–2 founder seats + one independent technical director; reserved matters (fresh issuance, M&A, related-party contracts, budget above threshold) require founder consent specifically where product/IP is concerned.

- **Founder protections:** title and role retention, compensation floor, information rights, tag-along on any future NK² sale of VoltZeal shares to a third party, IP assignment covenant so all post-close EMS/BMS IP sits inside VoltZeal (not a founder side-entity).
- **NK² protections:** drag-along for an eventual full platform exit, founder non-compete/non-solicit, key-man insurance on both founders.

08 – PHASED ROADMAP

0–3 mo	Diligence & term sheet LOI + exclusivity; IP ownership audit (confirm no EMS/BMS IP sits personally with the founders outside the company); cap table clean-up; existing-investor consents.
3–6 mo	Close & stand up the structure Execute Leg A + Leg B; incorporate NK ² Energy Holdco and first 2–3 SPVs; sign anchor customers on peak-shaving-only contracts (fastest to revenue, least regulatory friction); close first tranche of project debt.
6–18 mo	Scale & layer in DAM Grow to 15–20 sites; add day-ahead-market trading capability via a licensed partner; begin securitizing early SPV cash flows to recycle equity.
18–36 mo	Permanent capital & optionality Evaluate InvIT-style roll-up of stabilized SPVs; consider exercising the call option on remaining founder equity; explore licensing VoltZeal's stack to third-party BESS operators as a standalone value event.

09 – KEY RISKS & MITIGANTS

Customer credit risk over a 7-10yr opex tail	MITIGANT Security deposits, escrowed savings pass-through, credit insurance on weaker counterparties.
DAM trading regulatory access uncertain / state-dependent	MITIGANT Underwrite base-case economics on peak-shaving alone; treat DAM as pure upside once licensing confirmed.

**Unproven multi-site EMS
orchestration at scale**

MITIGANT

Gate capex tranches behind reliability milestones; hold back the founder earn-out against the same SLAs.

**Founder demotivation after
losing majority control**

MITIGANT

Reverse vesting, earn-outs, genuine product autonomy, and an ESOP refresh that dilutes NK² — not the founders.

**Hardware/OEM
concentration (China-import
dependency)**

MITIGANT

Multi-source the container supply chain; push performance warranties through into the OEM-SPV supply contract.

Prepared for
NK² Squared

Structuring memo — not legal, tax or investment advice; validate every mechanic with Indian counsel before execution